

INTERNATIONAL RELATIONS



INDIA-MALDIVES

MODULE - 32

INDIA AND MALDIVES

- 1 India and Maldives share a historical relationship through the cultural, religious, ethnic, linguistic and commercial links
- 2 The Maldives is an important part of India's 'Neighbour First' policy and India is part of 'India First' policy of Maldives.

The relations require an understanding of-

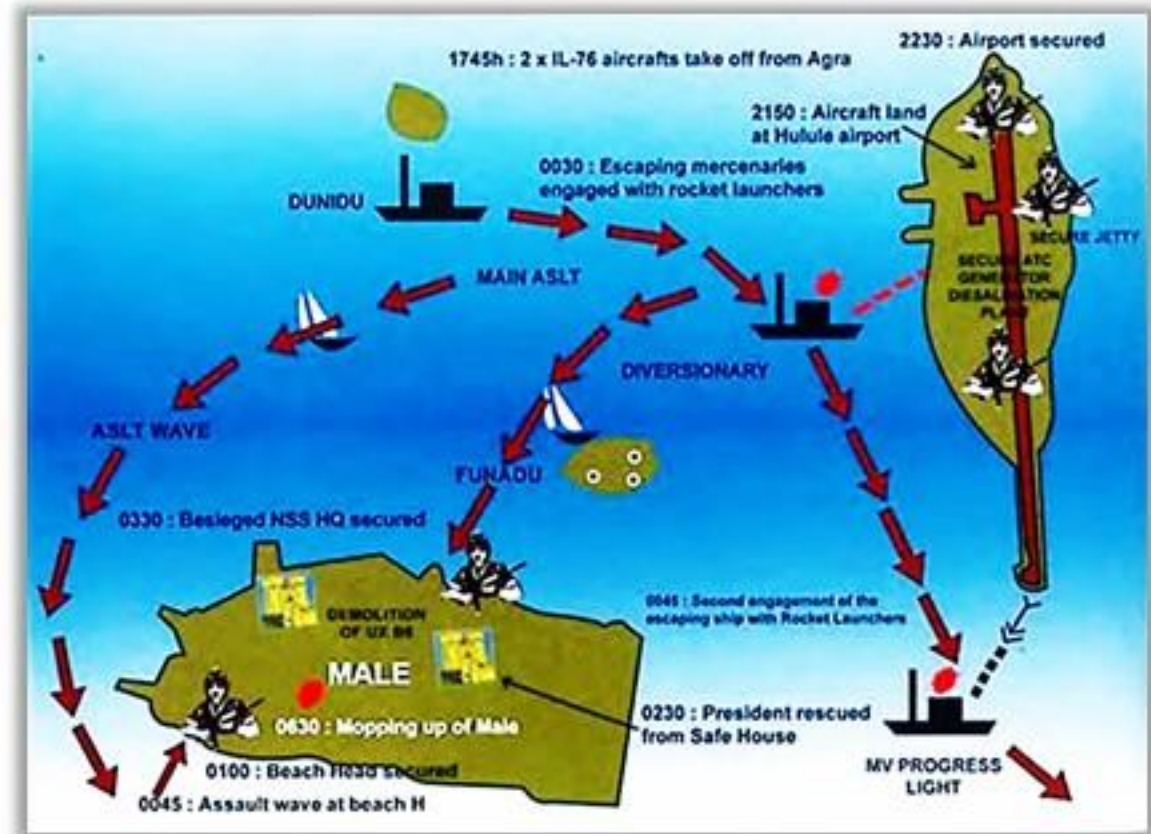
1. Post Colonial developments
2. Contemporary relationship



- 1 India and Maldives share ethnic, linguistic, cultural, religious and commercial links.
- 2 India was among the first to recognize the Maldives after its independence in 1965 and to establish diplomatic relations with the country.
- 3 India established its diplomatic office in Male in 1972.
- 4 India has offered assistance to the Maldives wherever required.



- 5 India and Maldives signed a trade agreement in 1981, which provides for export of essential commodities.
- 6 Under the bilateral agreement, India provides essential food items like rice, wheat flour, sugar, dal, onion, potato and eggs and construction material such as sand and stone aggregates to the Maldives on favourable terms.
- 7 Through Operation Cactus India saved Maldives from a coup in 1984.



GEOPOLITICAL

- 1 Prime Minister Modi called the Maldives 'a valued partner' in the Indian Ocean neighbourhood
- 2 The Maldives archipelago comprises of 1,200 coral islands and lies next to the key shipping lanes which ensure energy supplies to countries like China, Japan and India.
- 3 Maldives is important for political stability and security in the Indian Ocean Neighbourhood and protection of India's international trade and investments
- 4 Maldives relevance for India increased after China sent naval ships to the Indian Ocean till the Gulf of Aden
- 5 India maintains a naval presence in Maldives at the request of Maldives in 2009.



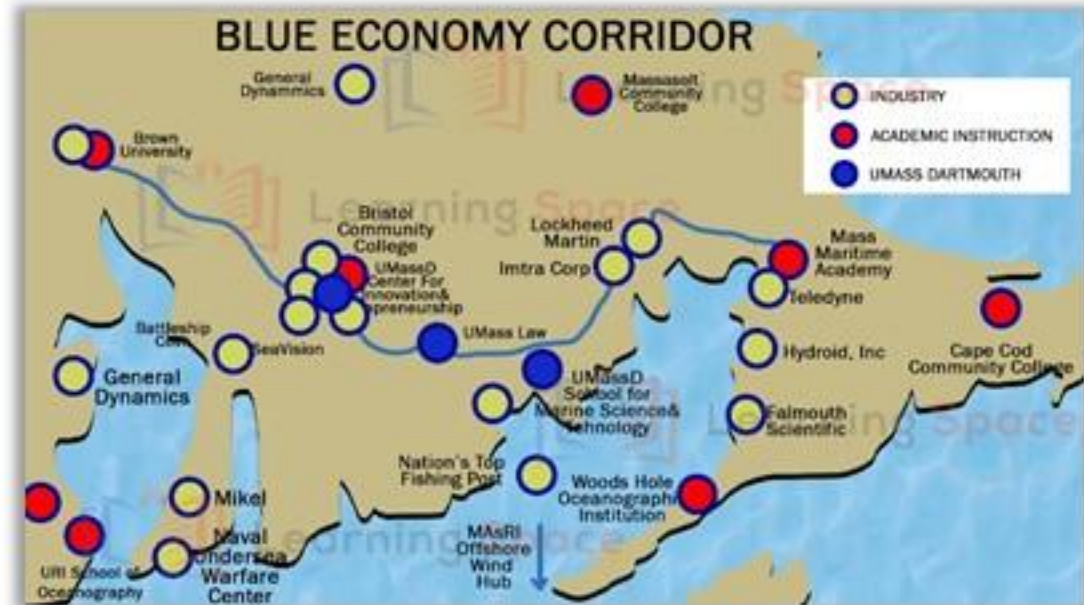
GEOPOLITICAL

6 It is extremely important for India's strength in the Blue Economy through sustainable management and utilization of marine resources.

7 Maldives stands for a an expanded and reformed UN Security Council and supports India's permanent membership and India's candidature for a non-permanent seat for the year 2020-21.

8 India and Maldives are members of Commonwealth and have supported each other on international forums such as NAM and the SAARC.

9 Maldives is cooperating in counter terrorism arena with India. Maldives recently arrested 40 nationals fighting alongside the Islamic State of Syria and Iraq.



ECONOMIC

1 State Bank of India has been playing a vital role in the economic development of the Maldives since, 1974 by providing loan assistance for promotion of island resorts, the export of marine products and business enterprises.

2 India provided a budget support aid of Rs.10 crores to help stabilize the Maldivian fiscal position.

3 In January 2014, India released \$25 million to meet Maldives' import expenditure.

4 This was done in the context of the Framework Agreement on Cooperation for Development of 2011.



ECONOMIC

5 With the Maldives reeling under mounting Chinese debt, India in 2018 announced a \$1.4 billion financial assistance to the island nation.

6 \$800 million Line of Credit Agreement was signed in March 2019, for assisting the Maldives to achieve sustainable social and economic development.

7 India has provided US \$ 100 million Stand-by Credit facility (SCF) to Maldives, including long-term loans and revolving credit for trade.

8 Maldives and the Indian government are negotiating a Double Tax Avoidance Agreement.



CAPACITY BUILDING

- 1 India has helped Maldives in Capacity building and Skill Development through the establishment of institutions like Indira Gandhi Memorial Hospital (IGMH), Faculty of Engineering Technology (FET) and Faculty of Hospitality & Tourism Studies(IMFFHTS).
- 2 India has been training Maldivian Diplomats under the Indian Foreign Service Institute's Professional Course for Foreign Diplomats (PCFD) program.
- 3 The Government of India financed a US\$5.30 million project for Technology Adoption Program in Education Sector in Maldives. India trained around 3000 Maldivian teachers and youth across islands in Computer skills from 2011-2013.
- 4 India offers several scholarships to Maldivian students under
 1. ICCR scholarships
 2. SAARC Chair Fellowship
 3. ITEC training & scholarships
 4. Technical Cooperation Scheme of the Colombo Plan
 5. Medical scholarships



DEVELOPMENT ASSISTANCE

1 India has offered relief and aid to Maldives after the tsunami on December 26, 2004 and tidal surges in May 2007.

2 After a major fire broke out at the Male Water and Sewerage Company, India offered help under Operation Neer



PEOPLE-TO-PEOPLE CONTACTS

- 1** Tourism and business from India to Maldives has increased over the years owing to proximity of location and improvements in air connectivity.
- 2** There are 25,000 Indian nationals living in the Maldives. Indian tourists also account for close to 6% of tourists Maldives receives every year.
- 3** India is a preferred destination for Maldivian for education, medical treatment, recreation, and business and over the years the long term visa applications have increased from Maldives.
- 4** Indians are the second largest expatriate community in the Maldives Indian comprising of workers as well as professionals



RENEWED TIES

- Before 2019, owing to the bilateral standoff between India and Maldives, thousands of Indian job seekers were being denied work permits
- In February 2019, India and Maldives exchanged an agreement to facilitate visas for travel between the two countries. It provided-

- 1 A liberal visa regime for Maldivian nationals to visit India for tourism, business, education and medical purposes.
- 2 An easier regime for Indians to travel to Maldives for business purposes.
- 3 Medical visas would also be granted to attendants to accompany patients.
- 4 Visas for parents and other dependents to live in India while their children attend school was also granted.
- 5 The agreement will ease visas on arrival for Indian businessmen, as work permits will be issued within 15 days to Indian employees, and the visa fees will be paid by employers in the Maldives

POLITICAL

- 1 In 2013, opposition leader in Maldives staged a coup and took power from the democratically elected president, Nasheed.
- 2 Former president Nasheed reached out to India and requested a military intervention to resolve the crisis.
- 3 The Indian government said it was disturbed by the situation in the Maldives.
- 4 Hence, bilateral ties have been disturbed since then.

- 5 India Maldives relations Former President Nasheed has since been living in exile in Sri Lanka.



POLITICAL

- 6 In 2014, Indian Prime Minister Modi reached out to all its neighbours except for Maldives.
- 7 His planned visit in March 2015 had to be cancelled due to the worsening political conditions there.
- 8 President Yameen's anti-India approach disturbed India's neighborhood outreach.
- 9 In 2014, Maldives terminated the agreement it entered into with GMR in 2010 for the modernisation of the Ibrahim Nasir International Airport.



SECURITY

- 1 Maldives is becoming a hub for Islamic terrorism. India needs to check the rise of such radicalism in its neighbourhood.
- 2 Maldives is a 100 percent Sunni-majority state.
- 3 In the past decade, the number of Maldivians drawn towards terrorist groups like the Islamic State (IS) and Pakistan-based madrassas and jihadist groups has been increasing.



SECURITY

4 Political instability and socio-economic uncertainty are the main drivers fuelling the rise of Islamist radicalism in the island nation.

5 Maldives is being radicalized by the Saudi funds and influence. Maldives accounted for one of the highest numbers of foreign fighters in Syria in terms of per capita.

6 Yameen government had asked India to remove its Dhruv advanced light helicopters from Maldives (which India had gifted in 2013).

7 Yameen government has alleged that tensions over the presence of the two Indian helicopters in two strategically important locations in the Laamu and Addu atolls have been growing.

8 The real worry seems to be the presence of Indian defence personnel who are maintaining and operating the aircraft.



ECONOMIC

- 1 Maldives and India do not have a Free Trade Agreement.
- 2 However, Maldives and China entered into Free Trade Agreement.
- 3 Work permits are not currently being issued to Indian Nationals. President Yameen's government has also rejected visa renewals for Indians who were legally working in the Maldives, without giving any explanation.
- 4 The Maldives also declined India's invitation to take part in its biennial eight-day naval exercise, Milan, in 2018.

- 5 Bilateral trade between countries is extremely low



CHINA FACTOR

- 1 Beijing has evinced a keen interest in developing infrastructure in the Ihavandhoo, Marao and Maarandhoo Islands.
- 2 They include a US\$ 830 million investment to upgrade the Maldives airport and build a 2km bridge to link the airport island with the capital Male.
- 3 Maldives fully endorsed China's ambitious Maritime Silk Road initiative. It secures the Sea Lanes of Communications for China for its smooth flow of energy supplies from Africa and West Asia through the Indian Ocean.
- 4 Chinese are also building a 25-storey apartment complex and hospital in the Maldives.
- 5 China's massive economic presence in the Maldives is a major concern for India.



CHINA FACTOR

6 In 2018, Maldives and China signed 12 pacts, including a Free Trade Agreement (FTA).

7 In August 2017, three Chinese warships were docked in Maldives for joint training sessions.

8 Around 3,06,000 Chinese tourists visited the Maldives in 2018 accounting for 21 per cent of the country's total number of visitors.

9 The opposition, however, has accused the government of allowing a Chinese 'land grab' of Maldivian islands, which undermines the independence of the Maldives, and the security of the entire Indian Ocean region



RECENT VISITS

2018

- President Solih visited India in 2018 and emphasized his country's traditionally close ties with India.
- He affirmed his government's "India First Policy."

- 1 The three-day official visit of newly elected Maldivian President Ibrahim India was reciprocated by India with an assistance of \$1.4 billion through a credit line and budgetary support to the Maldives.



2019

RECENT VISITS

1 PM Modi visited Maldives and Sri Lanka, after his re-election on May 30 2019.

2 President Solih conferred Indian PM with the Maldives' highest honor the *Order of Nishan Izzuddeen*

■ During the visit

1 Agreements were signed in areas of health, hydrography, cargo and passenger transportation by sea, customs services and other sectors.

2 Launch a passenger-cum-cargo ferry service between Kerala's Kochi and the Maldivian capital Male via Kulhudhuffushi atoll to strengthen connectivity between the two countries and boost tourism.

3 MoU on the Training and Capacity Building Program for Maldivian civil servants was also signed .



2019

RECENT VISITS

- 4 India and the Maldives agreed to set up a joint working group on counterterrorism, countering violent extremism and de-radicalization.
- 5 The two countries also agreed to strengthen coordination in enhancing maritime security in the Indian Ocean region through coordinated patrolling and aerial surveillance, exchange of information, and capacity building.
- 6 A technical agreement on sharing 'White Shipping Information' between the Indian Navy and the Maldives National Defence Force was also signed to exchange information on the movement of commercial, non-military vessels.
- 7 India will build a cricket stadium, which is likely to come up at Hulhumale, through a line of credit.

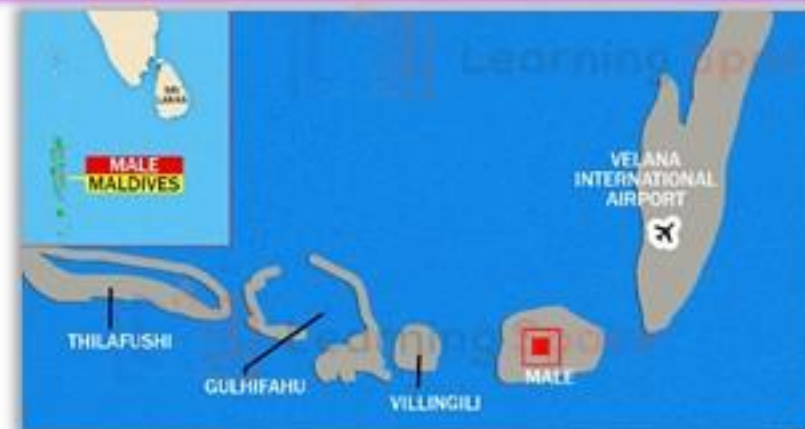


GREATER MALE CONNECTIVITY PROJECT

- 1 On August 13, 2020, on a virtual meeting between Indian External Affairs Minister and his Maldivian counterpart took place.
- 2 After this virtual meet, India announced a \$500 million package to fund the implementation of largest infrastructure project of Maldives- The Greater Male Connectivity Project (GMCP).

ABOUT GMCP

- 1 It is the largest civilian infrastructure project in Maldives, which will help in transforming the Maldivian economy through a grant of \$100m and a new line credit of \$400m..
- 2 It will connect Male to Villingili, Thilafushi, and Gulhifahu islands through a bridge and causeway link spanning 6.7 km.
- 3 This project will ease the pressure of the main capital island of Male.



ABOUT GMCP

GREATER MALE CONNECTIVITY PROJECT

- 4 It will also boost the economy and generate employment.
- 5 This project was a key election promise of the Maldivian Democratic Party (MDP).
- 6 India has also announced that a cargo ferry service between India and Maldives to boost trade and commerce.
- 7 India will create an air bubble between the two nations to sustain and promote people-to-people ties. Maldives is the first country with which India will create an air bubble.

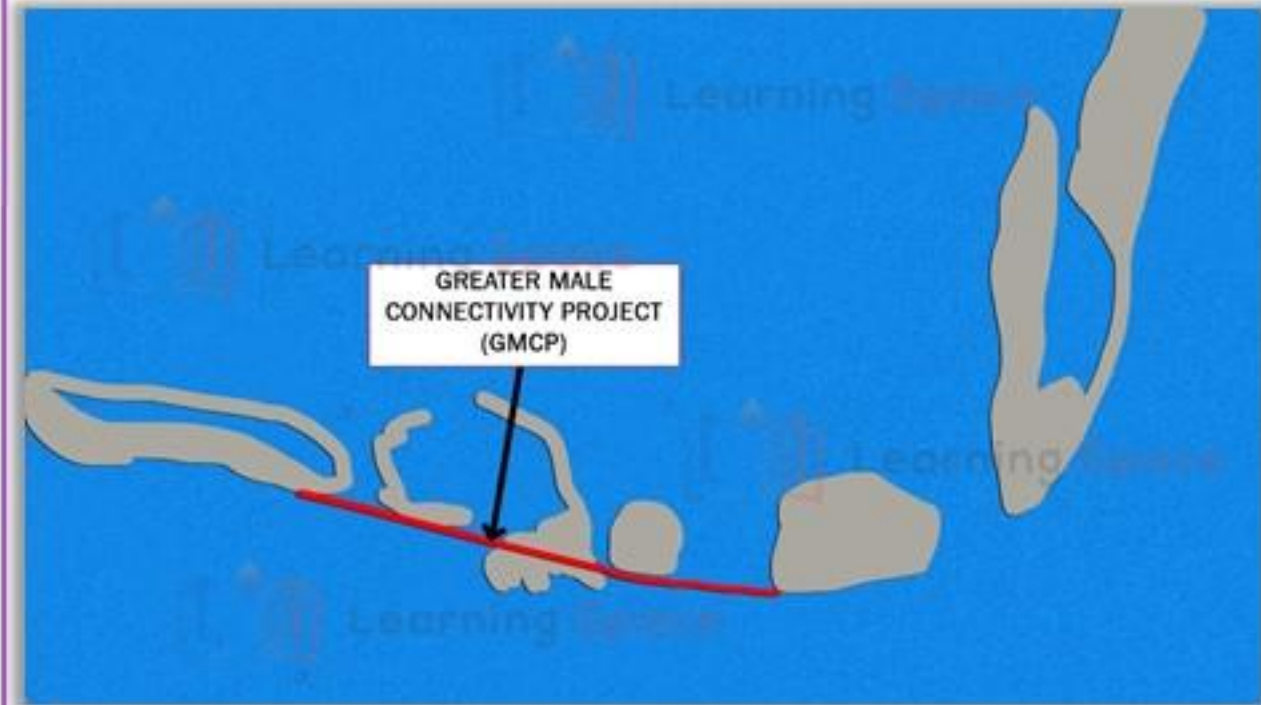
- 8 India will also extend the financial assistance to \$ 250m to manage the effects of the pandemic on the economy.
- 9 India also renewed the annual quota for supply of essential commodities.



GREATER MALE CONNECTIVITY PROJECT

OTHER PERSPECTIVES

- 1** The funded project is considered to be a strategic move by India to counter the China's influence in the Indian Ocean.
- 2** It is expected to be more than three times larger than \$200m China-Maldives Friendship Bridge and thus hopes to dwarf the Chinese project.
- 3** It will help India to regain diplomatic influence in the Indian Ocean region as Maldives plays a vital role in countering the China's presence in the region.



FUTURE OF INDIA-MALDIVES RELATIONS

POLITICAL

- 1 Democratic institutions in Maldives have been weakened and a fragile democracy under President Yameen, political elites in India's neighbours are not permanent.
- 2 If India can stand together with the aspirations of citizens of neighbouring countries, then the prospects of a long-term sustainable relationship will be much brighter.
- 3 India's intervention in the country might be counter-productive as it might be perceived as interfering



ECONOMIC

FUTURE OF INDIA-MALDIVES RELATIONS

- 1 Newly elected President Solih wants India to play a bigger role in correcting this anomaly by giving financial support to his country.
- 2 India needs to diversify its bilateral trade and improve the trade deficit. India should consider the proposal from its neighbour regarding the import of diesel, petrol and aviation fuel from India.
- 3 PM Modi said cooperation between our countries was necessary for maintaining stability in the Indian Ocean region and full realisation of the bilateral relationship.
- 4 Visas to Maldivian nationals could be liberalized, for smooth diplomatic relations.
- 5 India can help the Maldives in adapting to climate change through a comprehensive engagement



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